

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

IAN MILLS, *Claimant*

v.

CROWLEY LOGISTICS, INC., *Respondent*.

DOCKET NO. 1995(F)

Served: March 13, 2025

ORDER OF: Alex M. CHINTELLA, *Administrative Law Judge*.

INITIAL DECISION¹

I. Introduction

A. Overview

This proceeding arises from a complaint filed with the Federal Maritime Commission (“FMC” or “Commission”) in connection with a dispute over a container, which was shipped from the United States to Barbados. Claimant, Ian Mills, who is *pro se*, alleges that Respondent, Crowley Logistics, Inc. (“Crowley”), who arranged shipping services, violated 46 U.S.C. §§ 41102(c) and 41104.

According to the complaint, the parties intended for Crowley to transport a 40-foot container, 98 dry goods, and a clip-on generator from Miami to Barbados. Compl. 1. Mr. Mills sent the 98 dry goods to Crowley’s warehouse and Crowley arranged to pick up the container from Mr. Mills’s supplier. Compl. 1-2. Mr. Mills alleges a clip-on generator was also picked up by Crowley’s truck driver on November 19, 2021, but that this was accidentally omitted from the bill of lading. Compl. 1-3. On December 14, 2021, when Mr. Mills discovered that the clip-on generator was not with the container in Barbados, he contacted Crowley to request that the generator be returned or refunded. Compl. 3. But Crowley has yet to either return or refund the generator. Compl. 4-5. Mr. Mills therefore requests reparations totaling \$10,662 to reimburse the cost of the generator, transport a replacement generator, and for other losses stemming from this dispute and the absence of the generator. Compl. 5.

Crowley confirms in its answer, filed July 3, 2023, that the parties intended for Crowley to transport a 40-foot container and 98 dry goods from Miami to Barbados, which shipment was detailed in a bill of lading. Response & Answer (“Answer”) at 2. Crowley also agrees that Mr.

¹ This initial decision will become the decision of the Commission in the absence of review by the Commission. 46 C.F.R. § 502.318(a). Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.318(a).

Mills sent the 98 dry goods to Crowley's warehouse and that Crowley arranged to pick up the container from Mr. Mills's supplier. Answer 2, 5-6. But Crowley contends that it never agreed to transport a clip-on generator because the bill of lading does not list a clip-on generator. Answer 2, 5. Crowley also denies that it collected or received a clip-on generator. Answer 2.

B. Procedural History

This action was initially filed by Mr. Mills as an informal proceeding. A Notice of Filing of Small Claims Complaint and Assignment was served on June 6, 2023. Crowley objected to informal proceedings under Subpart S in its Answer. Answer 1. Therefore, the proceeding is considered as a formal complaint, adjudicated pursuant to Subpart T. 46 C.F.R. § 502.311.

On July 3, 2023, in addition to filing its Answer, Crowley filed an affidavit from Crowley's Vice-president ("Fincon Aff.") among other exhibits ("Answer Ex. 1-5") and filed a motion to dismiss asserting that Mr. Mills fails to state a claim under either § 41102(c) or § 41104(a)(4). Crowley also filed a memorandum in support of its answer and motion to dismiss complaint ("Brief"). Mr. Mills filed a reply memorandum on July 18, 2023 ("Opposition"). The motion to dismiss was granted with respect to the § 41102(c) claim and denied with respect to the § 41104(a)(4) claim. On April 24, 2024, I issued an order directing the parties to file additional evidence related to the § 41104(a)(4) claim to complete the record. In response to this order, both parties filed supplementary evidence ("Crowley Supplement" and "Mills Supplement"). Both parties also filed responses to the other party's supplementary evidence ("Crowley Reply" and "Mills Reply").

C. Arguments of the Parties

The parties first dispute whether Crowley ever received the generator. Mr. Mills argues that Crowley's logistics coordinator specifically communicates with her colleagues regarding the generator, Crowley's truck driver signs an interchange sheet referencing the generator, and another interchange sheet dated four days after the initial pickup by Crowley also references the generator. Crowley argues that its internal tracking system does not show a generator, and neither its quote nor the bill of lading references a generator.

Assuming the generator was picked up, Crowley further argues that, at worst, its conduct represents the accidental loss of a single item, and that under Commission precedent this does not constitute a "litany" of misconduct necessary to establish a § 41104(a)(4) claim. Mr. Mills argues that it is not just the loss of the generator, but Crowley's refusal to engage in even a basic investigation to locate his property, delay in responding to his inquiries, and misrepresentations regarding the evidence that constitute unfair practices in the matter of loading and landing of freight.

II. Findings of Fact (“FOF”)

1. Claimant Ian Mills is an individual who runs an agribusiness in Barbados. Compl. 1.
2. Respondent Crowley Logistics Inc. (“Crowley”) is a corporation that provides logistics/shipping services with a principal address in Jacksonville, Florida. Answer at 2. It is registered as an NVOCC with the Commission. <https://fmcapps1-fmcgov.msapproxy.net/rpi/Organization.aspx>.
3. Mr. Mills and Crowley intended for Crowley to transport certain items for Mr. Mills from the United States to Barbados. Compl. 1; Answer 2, 10.
4. On September 13, 2021, Mr. Mills emailed Crowley, providing summary information and requesting a quote. Mr. Mills noted that he wanted to import a reefer from the United States into Barbados, that the reefer would not need to be turned on during shipping as it would be filled with dry goods, and that he would need to have the items delivered to Crowley’s location and for Crowley to load them into the reefer. RX² 2-3. Mr. Mills also asked “is there any limit to the number of deliveries I can make (as I will have goods coming from a range of suppliers)? Will you give me a reference number / more specifics so that when the goods arrive it’s clear that they should be loaded onto my reefer.” RX 3.
5. On September 17, 2021, Crowley emailed Mr. Mills providing a quote, which noted: “This rate is subject to the below upcoming changes in our tariff” and detailing those tariff changes. Crowley also indicated that “since cargo being loaded does not require the reefer to be running, the container and cargo should be delivered to our Dry facility” in Miami, Florida.” RX 1.
6. MyShippingContainers.com issued two separate invoices to Mr. Mills. The first, dated October 8, 2021, listed a “40ft Used Refrigerated Container” priced at \$9,500. RX 9.
7. The second MyShippingContainers.com invoice, Invoice #1714, issued to Mr. Mills was dated October 29, 2021, and listed a “Generator (Used Clip-on for refrigerated container)” purchased for \$8,500 and a “Transformer 440 – 3 Phase (Installed on Refrigerated Container . . .)” purchased for \$2,500. RX 8.
8. Crowley received Invoice #1714 on November 9, 2021. Crowley Supplement 6; RX 60.
9. On November 9, 2021, Mr. Mills emailed Ms. Elizabeth Guia, Logistics Coordinator at Crowley, writing:

I’m delighted to say I’m ready to proceed ASAP please. I attach for your reference:

1. Crowley quote
2. Reefer invoice
3. Generator/transformer invoice (perhaps not needed)

² “RX” refers to the documents Crowley produced in response to the April 24, 2024 Order Regarding Completion of the Evidentiary Record, which are labeled RX 1-263.

4. Reefer safety certificate

The reefer is ready for collection **anytime this Friday**. Please kindly arrange for it to be collected then?

RX 11-12 (emphasis in original); *see also* RX 60 (invoice for generator and transformer).

10. On November 18, 2021, Ms. Rose-Marie Owen, Supervisor at Crowley, emailed Ms. Guia, writing: “Driver is at Gold Coast and is being told the shipper owned unit will not be ready until tomorrow 11/19.” RX 17.
11. Later on November 18, 2021, Ms. Owen emailed Ms. Guia again asking “Have you reached out to Gold Coast to see if it will be ready tomorrow? I think the issue is that Customer has not paid for the container.” RX 15.
12. Ms. Guia responded to Ms. Owen on November 18, 2021, copying Mr. Stan Parkes, Logistics Supervisor at Crowley: “Yes, I spoke with Brandon the issue was that ***he was waiting for the generator. Now it’s ready.***” RX 15 (emphasis added).
13. On November 22, 2021, Ms. Guia emailed Ms. Owen: “Container ready to be pick up, please can you proceed.” RX 23.
14. On November 23, 2021, Ms. Guia emailed Mr. Mills: “Please can you fill out the form attached please.” RX 32.
15. Mr. Mills responded on November 23, 2021: “Document signed on both pages and attached. However, I wasn’t sure what details to put in the Table on page 3 - can you add those please?” RX 32; *see also* RX 34-37 (Shipper-Owned Container Indemnity form).
16. The bill of lading pertaining to Mr. Mills’s shipment was then created by Crowley on November 24, 2021 and listed Crowley as shipper, Mr. Mills as consignee, and noted as “Description of Packages and Goods”: 1 40HC container, and 98 packages of department store merchandise, received for shipment on November 25, 2021. RX 42; Crowley Supplement 6. The bill of lading did not list a generator. It also did not list a transformer, which was nevertheless shipped by Crowley. RX 42; RX 58 (Dec. 14, 2021 email from Mr. Mills to Crowley noting that his container “came with a Generator and Transformer installed on it” but that upon arrival in Barbados “although the Transformer is in place, the Generator is missing”); Answer Ex. 5, pp. 7, 11 (noting in claim for loss that the Transformer was present on the back of the reefer (outside) when it arrived in Barbados).
17. Mr. Mills’s container arrived in Barbados, in Bridgetown port, around December 8, 2021 with no generator attached. CX³ 1; *see also* RX 58 (Email from Mr. Mills to Ms. Guia, writing: “Your local broker (Marine Trading) facilitated getting it out of Bridgetown port to Sunbury (the final destination where I’m based). Upon arrival, I had an electrician

³ “CX” refers to the documents Mills produced in response to the April 24, 2024 Order Regarding Completion of the Evidentiary Record, which are labeled CX 1-11.

work on connecting it for me. However, although the Transformer is in place, the Generator is missing i.e. I never received the Generator.”); RX 58, 90, 111.

18. On December 14, 2021, Mr. Mills emailed Ms. Guia at Crowley:

Hi Elizabeth,

As just discussed . . . you worked with me recently to have a shipping container (40ft reefer) exported from Miami to Bridgetown. . . . This was my own container, purchased from Myshippingcontainer.com in Miami. It was collected from them by Crowley in Miami. It came with a Generator and Transformer installed on it.

Your local broker (Marine Trading) facilitated getting it out of Bridgetown port to Sunbury (the final destination where I’m based). Upon arrival, I had an electrician work on connecting it for me. However, although the Transformer is in place, the Generator is missing i.e. I never received the Generator.

I’ve followed up with Myshippingcontainer.com for proof that they provided the Generator to Crowley. I attach the interchange paperwork from them which shows the Generator (with a corresponding number).

The purpose of this email is to ask you to look into what happened to the Generator please and worst case to either refund me the price of it or find a way for me to be provided with one as soon as possible please (or me buy a replacement and send you the invoice for that).

As a small business using the reefer for cold storage of food, I need the generator as a backup asap and my business is at risk until I have that in place. Accordingly, I’d be very grateful if you’d please prioritize this matter.

RX 58.

19. Later on December 14, 2021, Ms. Guia responded to Mr. Mills, writing: “I’m sorry to hear about the situation, I escalate the situation to my team on the warehouse. I will advise as soon as possible.” RX 83.
20. Between December 16 and 20, 2021, Mr. Mills wrote to Crowley at least three times, requesting an update concerning the generator. RX 83 (“Please can I have a substantive response today as I am understandably very concerned about the situation.”); RX 82 (“Please can you get back to me today as I’m really worried about this dragging on. Grateful for your help.”); RX 82 (“I need to hear back from you as soon as possible on getting a refund for my generator. This is extremely upsetting to me and I need it resolved as soon as possible please.”); *see also* RX 90 (where Mr. Mills describes making a complaint to Crowley on 14 December by email to Mr. Guia, and following “this up with her many times by phone and a subsequent 4 emails including to her supervisor (Stan Parks)”).

21. On December 20, 2021, Mr. Parkes emailed Mr. Mills, writing: “I am sorry for the delay but the warehouse has no pictures of this container when it was received. My advise [sic] to you would be to file a claim with the insurance department in this regard.” RX 81.
22. Crowley and Mr. Mills had agreed that Crowley would collect the container from 13850 NW 105 Ave., Hialeah FL 33018, from a company called MyShippingContainer.com. This company operates out of a facility owned by Gold Coast Repairs Inc., a company that carries out inspections. Compl. at 2; Answer 5-6; *see also* Fincon Aff. ¶ 9 (“Crowley arranged to collect the container from Claimant’s supplier.”); Mills Supplement, p. 4; CX 5.
23. The equipment interchange receipt from Gold Coast Repairs, Inc. indicated equipment “Out” on November 19 with the following details:

Customer: Brandon
Location: My Shipping
Model No: 40 ‘ Reefer w/ **Gen Set**
Equipment No: 802643-3 - (Unit)
TAXG – 594760 - (Gen Set)
Received by: [signature not legible] # 10148

RX 61 (emphases added).

24. Mr. Brandon Mason, President of My Shipping Containers, the supplier of the generator, also confirmed that the generator was picked up from Gold Coast Repairs. CX 4 (“I confirmed with Gold Coast Repairs and received their interchange document that the container and generator was successfully collected and I notified Mr. Ian Mills. Gold Coast Repairs is the owner of the facility and provides the interchange documents when equipment is released from the facility.”) In addition, a slot ticket produced by Crowley dated November 23, 2021 indicates “Accessory: Genset” further reinforcing that the generator was attached to the container when Crowley’s trucker picked it up. RX 157.
25. Therefore, based on (1) the equipment interchange receipt; (2) the statement of Mr. Mason; (3) Ms. Guia’s November 18, 2021 email, copying Mr. Parkes, and acknowledging the need to wait for the generator to be ready to perform the pickup from Gold Coast; (4) Mr. Mill’s November 9, 2021 email, send to Crowley, listing the generator and attaching its invoice; and (5) the November 23, 2021 slot ticket; Crowley took possession of the generator on November 19, 2021. RX 11-12; RX 60; RX 61; CX 4; RX 15; RX 157.
26. In Mr. Parkes’s December 20, 2021 email advising Mr. Mills to file a claim for loss, the claims process was described as follows:

TO REPORT A CLAIM

- Customer must complete the 1st Incident Report of Loss/Damage available on Crowley.com or by using the following link [link provided]

- Customer will receive a response email with a Claim Number and the Claims Adjuster assigned to the Claim within 72Hrs from the time report was submitted.
- Crowley Claims' team will be the liaison and will submit the claim to CNA (Insurance Company) and they will contact customer directly to start the claims process.

RX 232-233.

27. Mr. Mills submitted a claim for loss on December 20, 2021, noting:

By way of background, I own a reefer, bought from Myshippingcontainer.com in Miami. I bought it with a Generator (as well as a Transformer) installed on the back of the reefer (outside). I hired Crowley to transport the reefer from Miami to Barbados (where I am based). When the reefer arrived at the destination, the Generator was missing (though the Transformer was present). . . .

I am making a claim for purchasing a replacement generator where I am based in Barbados. I attach the invoice showing my purchase of the generator for US\$8,500 in Miami, however, generators are more expensive in Barbados (a small island where almost everything is imported and accordingly is more expensive) and accordingly a replacement estimate is higher. I would be grateful for you to prioritize this claim please as I run a small business which stores frozen foods in the reefer and I need a generator working on my reefer in order to protect it from power cuts on the island

RX 90-92.

28. Mr. Villegas was assigned as claims adjuster as of December 22, 2021. RX 90.
29. Also on December 22, 2021, Mr. Villegas emailed Mr. Mills, asking him to provide seven additional pieces of information RX 93. Mr. Villegas also noted: "Carrier liability is limited up to \$500 in absence of additional marine insurance acquired [sic] thru the carrier; or when the value of the cargo is not declared." *Id.*
30. Mr. Mills provided the requested information on December 28, 2021. RX 97-111. Among these materials, Mr. Mills provided a letter which indicated:

I am making a claim for purchasing a replacement generator where I am based in Barbados. I have obtained a quote and the generator alone (excluding a transfer switch) costs US\$20,579.4 (equivalent to Barbados Dollars 41,158.79 (35,028.76+6,130.03 tax)). This price includes the cost of importing a generator into Barbados (as generators are not made on this small island). For the avoidance of doubt, my loss being claimed is to replace a generator for me at my destination, not simply to cover the cost

of a replacement generator in the USA (as I paid Crowley to transport the generator to me to Barbados where I am based).

I would be grateful for you to prioritize this claim please as I have started a small business which stores frozen foods in the reefer and I need a generator working on my reefer in order to protect it from power cuts on the island. There has already been one power cut on the island, cutting off power to my reefer, since my reefer arrived, hence this is urgent. In order to mitigate any further claim for damages e.g. from spoiled food, I am not running the reefer at full capacity until I have this claim fulfilled and a generator in place.”

RX 111.

31. On January 2, 2022, Mr. Villegas emailed others at Crowley, asking: “Is there a way to determine how shipper owned container 8026433 was received by us at PEV? The customer is stating that container arrived at destination without compressor.” RX 123.
32. On January 10, 2022, Mr. Mills emailed Mr. Villegas asking for an update. Mr. Villegas replied to Mr. Mills later on January 10 writing:

This claim is under investigation as this is not a normal situation. We will be reviewing all the facts and documentation to determine if there is proof of liability.

I respectfully and highly recommend put on notice your corporate insurance taking into consideration that there is not additional insurance with us the carrier liability should be limited up to \$500.00.

We sincerely regret the alleged inconveniences and will be responding you as soon as possible. Our goal is to response the claim within the next ninety (90) days after all documentation to formalize a claim is received.

RX 129.

33. On January 25, 2022, at 10:43 AM, Mr. Mills emailed Mr. Villegas, writing:

I note you saying it can take up to 90 days (!) to respond, but you won't be surprised to hear that timeframe is really not acceptable. . . .

I do not accept your informal update below and I trust the substantive response will address the loss that Crowley incurred on me. I need that response before deciding if and how to escalate the matter further with your company (which I hope won't be necessary).

RX 129.

34. On January 25, 2022, at 12:44 PM, Mr. Mills emailed Crowley writing:

I've given this further thought - and I would like the next step to be for you to please scrutinize what happened to the Generator before Miguel continues the rest of the claim.

We know so many details:

(a) The date and location my reefer and Generator were picked up by the Crowley truck (Nov 19 from Myshippingcontainers.com). The person responsible there, Brandon Mason, is very happy to be contacted if you have any questions on 305 401 7916.

(b) My reefer and Generator numbers (802643-3 (unit) and TAXG-594760 (Generator))

(c) The Crowley truck number (10148) and truck driver's name (see interchange document re-attached) - has the truck driver been contacted yet?

(d) The make and model of Generator (Carrier, 69RG15-130W-01) - which means it weighs about 800kg and would need to be removed from the reefer with a forklift (i.e. not easily done without noticing)

We also know the date the Crowley ship sailed. Elizabeth - please can you urgently interrogate what happened to my reefer and Generator from the point the Crowley truck driver collected them?

Please contact the truck driver; and then the person that received the reefer and Generator from him/her; and then please track what happened next. It should really be possible to work out where the Generator went and to see if it has remained in a certain place since then. Perhaps still in Miami port? Perhaps there was a docking of the ship on route to Barbados? It would be a much better outcome to track down the Generator than to pursue liability for loss.

RX 125.

35. On January 26, 2022, Ms. Guia emailed Mr. Villegas and others at Crowley, writing: "Attached is our email with warehouse team. Where they advised that they don't take picture of the container." RX 126.
36. Crowley submits as the "entirety of its investigative file pertaining to Mr. Mill's clip-on generator, including but not limited to any internal emails or other correspondence, documentation, summaries, business records, and conclusions" documents numbered RX 1 - RX 164. Crowley Supplement 1.
37. Crowley knew the identity of the driver of truck #10148. Crowley Supplement 3.

38. “Truck # 10148 was assigned to pick up this container. The driver of Truck #10148 is Juan Carlos Alfonso Garcia. According to Crowley’s Transportation Management System, this truck and driver picked up container SHPU 8026433.” Crowley Supplement 3.
39. The entirety of Crowley’s investigative file included no evidence of Crowley having contacted the driver of truck #10148 as part of Crowley’s internal investigation. RX 1-164; *see also* Crowley Supplement 3-4.
40. Crowley declined to contact the truck driver despite repeated requests by Mr. Mills that the truck driver be contacted, as he had signed for the generator. *See, e.g.*, RX 125 (On January 25, 2022, Mr. Mills wrote: “We know so many details: (a) The date and location my reefer and Generator were picked up by the Crowley truck (Nov 19 from Myshippingcontainers.com). . . . [H]as the truck driver been contacted yet? . . . Please contact the truck driver;”).
41. Of the 164 pages contained within Crowley’s “investigative file” more than one third were emails and documents drafted and exchanged prior to December 14, 2021. *See, e.g.*, RX 1-57. More than one third were inquiries by Mr. Mills and forwards of those materials, information requested of and submitted by Mr. Mills concerning the loss, and Crowley’s offer of \$500 for the generator. *See, e.g.*, RX 58-62; R 64-68; RX 71-75; RX 79; RX 80-89; RX 90-111; RX 129-139.
42. In total, less than 25 pages demonstrate Crowley seeking information concerning the possible fate of the generator. RX 63; RX 69-70; RX 76-78; RX 112-128. Of these, some pages are duplicates of email exchanges because of the inclusion of email chains. *See, e.g.*, RX 113-114 duplicated at RX 121-122 and at RX 127-128.
43. Prior to advising Mr. Mills to file a claim for a loss on December 20, 2021, Crowley’s only inquiries included within its investigative file consist of: a December 14, 2021 email asking one individual “Can you confirm we picked up this unit as it is in the picture attached.” (RX 63); a December 14, 2021 email asking several Crowley employees “Please advise if you have pictures of the container.” (RX 69); and a December 14, 2021 team email asking: “Please note the email below from the customer and advise how this container was received.” (RX 77). With the exception of the last email, the file does not contain any responses to these inquiries.
44. The first indication in Crowley’s investigative file of Crowley querying whether the generator may still be in its yard occurred in the context of a March 9, 2022 email from the Crowley claims adjustor, Mr. Miguel Villegas, send to two other Crowley employees. RX 124. Mr. Villegas wrote: “We have a claim due to alleged loss of genset TAXG-594760 on a voyage from PEV to Barbados. Would you please help us to review in our yard to make sure it is not there by error.” *Id.*
45. On March 11, 2022, Mr. Villegas wrote again to the same two Crowley employees, asking: “Do we have the opportunity to check on the below? Your assistance is highly appreciated.” RX 124.

46. There is no response to these emails in Crowley's investigative file, nor any indication that anyone ever looked for the generator.
47. On April 7, 2022, Mr. Mills emailed Crowley, writing: "It's been 4 MONTHS since I submitted my claim and I urgently need a substantive response please. Please would you provide that as soon as possible or tell me how I can escalate this further thanks." RX 133.
48. On April 11, 2022, Crowley emailed Mr. Mills providing an "offer and release letter only for settlement purposes" to Mr. Mills, however, Crowley attached an offer letter corresponding to a different client. RX 132.
49. On May 2, 2022, Crowley emailed Mr. Mills providing an offer letter "replacing the previous one sent on April 11, 2022, meant to a different customer." RX 131.
50. Crowley's offer letter to Mr. Mills, dated May 2, 2022, stated in part:

We have received your claim on December 20, 2021, due to alleged lost of one (1) generator (shipper owned) part of shipment supported on BL SUCR581911, duly received at destination on or around December 8, 2021 and preliminarily we verify you did not purchase insurance with us.

Additionally, we found this claim was submitted exceeding the three (3) days of the frame time established in the clause 32. of Bill of Lading Term and Conditions

However, based on the good faith of your report, pursuant to Section §1304 (5) of the U.S. Carriage of Goods by Sea Act, (COGSA), in conjunction with the clause 161, of the Bill of Lading Terms and Conditions, our liability, if any, it would be limited to \$500.00 per package or per customary freight unit, for this reason without prejudice, we are agreeable, to respectfully offer you FIVE HUNDRED DOLLARS (\$500.00), taking into consideration that product contained in one (1) generator alleged as lost.

Should you wish to accept this offer, I'd ask that you arrange for the attached Subrogation Receipt to be completed. Once received we will process it for payment.

RX 136-137.

51. On June 3, 2022, Crowley emailed Mr. Mills, writing:

[F]ollowing up on the status of our offer and release letter. . . . Due to the time elapsed, we will keep this claim opened and offer valid for (1) more month, this is until July 3, 2022. If we do not hear from you within this time, the offer will be extinguished, and claim closed accordingly.

RX 131.

52. Mr. Mills did not accept Crowley’s offer and he initiated this proceeding in a claim that was received by FMC on June 6, 2023. Compl. 1; *see also* Fincon Aff. at 3.

III. ANALYSIS AND CONCLUSIONS OF LAW

A. Preliminary Issues

1. Jurisdiction

Respondent Crowley does not contest the Commission’s jurisdiction over this case, but it is “elementary law that a tribunal should determine its jurisdiction before proceeding to the merits of a controversy.” *NPR, Inc. v. Board of Commissioners of the Port of New Orleans*, Docket No. 98-23, 28 S.R.R. 1178, 1999 WL 35841898, at *1 (ALJ Nov. 23, 1999); *see also River Parishes Co. Inc. v. Ormet Primary Aluminum Corp.*, Docket No. 96-06, 28 S.R.R. 751, 762, 1999 WL 125991, at *17 (FMC Feb. 3, 1999) (“As the ALJ correctly held, an agency must reach jurisdictional issues before addressing the merits of a case”) (internal citations omitted).

The Shipping Act provides that a “person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part.” 46 U.S.C. § 41301(a). Pursuant to this provision, the Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. *See Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, Docket No. 02-04, 30 S.R.R. 991, 2006 WL 2007808, at *10-11 (FMC May 10, 2006) (the Commission was obligated to hear allegations particular to the Shipping Act, even where the complainant has already obtained an arbitration award for related breach of contract claims); *see also Cargo One, Inc. v. COSCO Container Lines Co.*, Docket No. 99-24, 28 S.R.R. 1635, 1645, 2000 WL 1648961, at *15 (FMC Oct. 31, 2000) (the Commission must address allegations of violations of the Shipping Act, which are within its exclusive jurisdiction; no common law remedy exists for such violations).

The Commission has an obligation to address Shipping Act claims, even if the relevant facts may also give rise to other claims between the parties. *MCS Industries, Inc. v. Mediterranean Shipping Company S.A.*, Docket No. 21-05, 2024 WL 95383, at *7 (FMC Jan. 3, 2024). The Commission has jurisdiction over Shipping Act claims even if a related proceeding is underway, and a claim for violation of the Shipping Act may only be resolved by the Commission. *Id.*

2. Burden of Proof

To prevail in a proceeding to enforce the Shipping Act, a complainant bears the burden of proving their allegations by a preponderance of the evidence. 5 U.S.C. § 556(d); 46 C.F.R. § 502.203; *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, Docket No. 08-03, 2014 WL 9966245, at *14 (FMC Dec. 17, 2014). Under the preponderance standard, a complainant must show that their allegations are more probable than not. *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Docket No. 15-04, 2021 WL 3732849, at *3-4 (FMC Aug. 18, 2021).

It is appropriate to draw inferences from certain facts when direct evidence is not available, and circumstantial evidence alone may even be sufficient; however, such findings may not be drawn from mere speculation. *Waterman Steamship Corp. v. General Foundries, Inc.*, Docket No. 93-15, 26 S.R.R. 1173, 1180, 1993 WL 13975538 at *13 (ALJ Dec. 9, 1993), *adopted in relevant part*, 26 S.R.R. 1424, 1994 WL 279898 (FMC June 13, 1994).

3. Confidential Treatment

In its response to the order to supplement the record, Crowley requests confidential treatment for its “Facility Administrative Manual (RX 140 - RX 143) and all discussions and communications regarding Crowley’s systems and processes.” Crowley Supplement 1 n.1. There is a strong presumption in favor of public access to judicial proceedings. *In re McCormick & Co., Pepper Prods. Mktg. & Sales Practices Litig.*, 316 F. Supp. 3d 455, 463 (D.D.C. 2018). Public access to judicial records is not limitless, however, and may be denied “to protect trade secrets . . . and to minimize the danger of an unfair trial by adverse publicity.” *U.S. v. Hubbard*, 650 F.2d 293, 315-16 (D.C. Cir. 1980).

In formal cases, the Commission requires parties to justify confidential treatment by motion. 46 C.F.R. § 502.5(b). While this provision is not applicable to proceedings under Subpart T, the Commission nevertheless requires a clear request for confidential treatment and a showing of good cause in such cases. 46 C.F.R. § 502.321; *See Genesis Resource Enterprise Inc. v. Maersk Line, Ltd.*, Docket No. 2014(I), 2024 WL 5054939, at *1 (FMC Dec. 4, 2024) (finding, in a Subpart S case, that a clear request for confidential treatment and a showing of good cause was required). Crowley’s request with respect to its Facility Administrative Manual is sufficiently clear, and the information is of the type normally kept confidential. But the request to keep “all discussion and communications regarding Crowley’s systems and processes” confidential is vague and, given the fact that Crowley has not redacted any specific items, I cannot determine with a reasonable degree of certainty what Crowley is seeking confidential treatment for. Nor is it evident from the information itself that there is any discussion or communication of trade secrets or confidential research, development, or commercial information, either in the briefing or the supplemental evidentiary materials, such that confidential treatment would be warranted. 46 C.F.R. § 502.5(b). It is therefore **ORDERED** that Crowley’s Facility Administrative Manual, at RX 140 - RX 143 be treated as confidential.

B. Discussion

Mr. Mills claims that Crowley has violated 46 U.S.C. § 41104(a)(4)(D), which provides:

- (a) In general.--A common carrier, either alone or in conjunction with any other person, directly or indirectly, may not--
- (4) for service pursuant to a tariff, engage in any unfair or unjustly discriminatory practice in the matter of--

(D) loading and landing of freight; . . .

46 U.S.C. § 41104(a)⁴. A “common carrier” is a person that –

(i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation;

(ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and

(iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country

46 U.S.C. § 40102(7). A non-vessel-operating common carrier is a common carrier that –

(A) does not operate the vessels by which the ocean transportation is provided; and

(B) is a shipper in its relationship with an ocean common carrier.

46 U.S.C. § 40102(17). Here, Crowley is a carrier with respect to Section 41104(a)(4)(D), having acted as NVOCC for the shipment at issue. FOF 2, 7-9, 12, 15-16. Crowley does not contest this element. But Crowley asserts that it “has not acted unfairly or unjustly discriminatorily towards Claimant in any way.” Crowley Reply 7.

Mr. Mills contends that Crowley picked up his container from his supplier with a generator attached, somehow lost the generator but not the container, and then failed to take any reasonable steps to locate it. Mills Supplement 4-5; Mills Reply 1-4, 7-13. Crowley contends it never picked up a generator and nevertheless took reasonable steps to address Mr. Mills’s claim once he filed it. Crowley Supplement 2, 4, 8; Crowley Reply 2-5.

Mr. Mills runs a business in Barbados and reached out to Crowley on September 13, 2021, for a quote to have a refrigerated shipping container (“reefer”) transported from the United States to Barbados, along with items in the reefer which did not require refrigeration (“dry goods”) – that is, the reefer would not be turned on during transport. Mr. Mills’s stated intention was to use the reefer as cold storage for his business in Barbados. FOF 1-4; Mills Reply 5. On September 17, 2021, Crowley emailed Mr. Mills a quote. FOF 5. Mr. Mills’s supplier, MyShippingContainers.com, issued an invoice to Mr. Mills for a “Generator (Used Clip-on for refrigerated container) for \$8,500 and a transformer for \$2,500. FOF 7. Mr. Mills emailed this

⁴ On June 16, 2022, the Ocean Shipping Reform Act of 2022 (“OSRA 2022”) passed, which revised portions of the Shipping Act, including § 41104(a), in which “may” was changed to “shall.” But because the relevant conduct here was completed prior to June 2022, the pre-OSRA version of § 41104(a) is quoted. *See Landgraf v. USI Film Products*, 511 U.S. 244, 270 (1994) (discussing presumption against statutory retroactivity).

invoice, along with other information about his shipment, to Crowley logistics coordinator Elizabeth Guia on November 9, 2021. FOF 8-9.

Some delays followed, and on November 18, 2021, Ms. Guia emailed two Crowley supervisors explaining that Mr. Mills's shipment was ready for pickup: "Yes, I spoke with Brandon the issue was that *he was waiting for the generator. Now it's ready.*" RX 15 (emphasis added); FOF 12. Since Ms. Guia specifically referenced the need to wait for the generator to be ready in order to pick up Mr. Mills's reefer, Crowley's contention that "it was not specified that Crowley would pick up a generator" is baffling. In support of this assertion, Crowley states that only dry goods would be shipped – which is uncontested – but this has no bearing on whether the reefer had a generator attached to it. *See* Crowley Supplement 6. Crowley's employees were clearly aware that the shipment was waiting on the generator and even communicated directly with Mr. Mills's supplier about the generator. FOF 12. Crowley does not explain how it would have been possible for Mr. Mills to be clearer about the generator, and I find that Crowley was aware that it was Mr. Mills's intention to ship the generator attached to the container.

Not only was it Mr. Mills's intention to ship the container with the generator attached, it is also clear from the record that the generator was in fact attached to the container and Crowley had the generator in its possession. Crowley arranged to collect the container from Mr. Mills's supplier, a company called MyShippingContainer.com, at a facility owned by Gold Coast Repairs Inc., which carries out inspections. FOF 22.

The equipment interchange receipt from Gold Coast Repairs, Inc. indicated equipment "Out" on November 19, 2021 with the following details:

Customer: Brandon
Location: My Shipping
Model No: 40' Reefer w/ **Gen Set**
Equipment No: 802643-3 - (Unit)
TAXG – 594760 - (Gen Set)
Received by: [signature not legible] # 10148

FOF 23 (emphasis added). Mr. Brandon Mason, President of My Shipping Containers, the supplier of the generator, also confirmed that the generator was picked up from Gold Coast Repairs: "I confirmed with Gold Coast Repairs and received their interchange document that the container and generator was successfully collected and I notified Mr. Ian Mills. Gold Coast Repairs is the owner of the facility and provides the interchange documents when equipment is released from the facility." FOF 24.

A slot ticket produced by Crowley dated November 23, 2021 indicates "Accessory: Genset" further reinforcing that the generator was attached to the container when Crowley's trucker picked it up. FOF 24. Crowley counters that its interchange receipts and Transportation Management System do not reference a generator. Crowley Reply 2-3. That the interchange receipts do not show a generator tells me nothing – there is nothing on the documents themselves indicating that they would necessarily contain this information if, in fact, a generator was present (for example, a check box with "generator" next to it), no accompanying declaration explaining what information the form ought to contain, and no comparable interchange receipt showing a

generator properly identified. *See, e.g.*, RX 154. Similarly, the extract from the Transportation Management System is devoid of context – the columns have no headers, there is no other indication of what each entry represents (by declaration or otherwise), and there is no reference entry to show how the presence of a generator on the reefer would normally be notated. *See* Crowley Supplement 2.

And while Crowley relies on the omission of the generator from the bill of lading (“BOL”), this is not an error that can be laid at Mr. Mills’s feet. Crowley’s employees knew about the generator, had been in contact with the supplier of the generator, knew the pickup was waiting on the generator, knew that Mr. Mills intended to ship the generator, and knew that Mr. Mills had asked Crowley for assistance in describing the items for purpose of the BOL. FOF 7-9, 12, 14-16; *see also* FOF 9, 16 (Crowley also did not list the transformer on the BOL, yet still transported the transformer attached to Mr. Mills’s container.). Under these circumstances, the omission of the generator from the BOL provides no rebuttal at all to the documents mentioned above that definitively show Crowley took possession of the generator and understood that it was Mr. Mills’s intention to ship it to Barbados attached to the container. FOF 25.

Having determined as a factual matter that there was a generator attached to the container, and that Crowley did pick it up and then failed to deliver it, it remains to be determined whether Crowley’s actions are, as Mr. Mills contends, unfair or unjustly discriminatory. Several cases are instructive. The instant case is similar to *Adair v. Penn-Nordic Lines, Inc.*, Docket No. 1695(F), 1991 WL 383091 (ALJ Sept. 19, 1991), admin. final Oct. 24, 1991. In that case, a carrier received a motorcycle for shipment to New Zealand, but due to a dispute with the freight forwarder over payment of freight charges, left it in a warehouse despite informing Mr. Adair that it had shipped. *Id.* at *8-9. When the ship arrived in New Zealand, of course the motorcycle was not on board, the carrier’s agent in New Zealand advised Mr. Adair to file an insurance claim. During this time, the carrier had reached an agreement with the freight forwarder and accepted payment for the shipment of the motorcycle, but despite this agreement still did not ship it, insisting on payment for the storage charges and additional fees for the shipment. *Id.* at *9-10. The ALJ found that that the carrier’s actions constituted a violation of Section 10(d)(1) of the Shipping Act (now 46 U.S.C. § 41102(c)), but that it would probably also support a finding of a violation of Section 10(b)(6)(D) (now 46 U.S.C. § 41104(a), however such determination was not necessary in *Adair*, since the 10(d)(1) violation applied to both carriers and forwarders, both of whom had “played a large role in the transportation foul-up.”). *Id.* at *3, 10-11.

In *Symington Euro Car Transport Inc.*, a carrier entered into an oral contract with an individual who paid the carrier \$16,600, of which the carrier was supposed to pay \$15,570 to the seller of an automobile and then ship the automobile. Docket No. 92-47, 1993 WL 113704, at *1 (ALJ Mar. 17, 1993), admin. final Apr. 22, 1993. The carrier accepted the money, but did not carry out its obligations. It also refused to return the money despite repeated demands. *Id.* The ALJ determined that this was a violation of Section 10(b)(6)(D). *Id.* at *4-5. Similarly, in *Panalpina Inc. v. Eastern Mediterranean Shipping Corp.*, shipments of medical equipment became delayed en route from the United States to Asia. Docket No. 98-12, 1998 WL 940271, at *1 (ALJ Sep. 21, 1998), admin. final Oct. 23, 1998. The shipper made repeated requests to the carrier for status updates, which were ignored, forcing the shipper to investigate the issue and make additional payments to ensure the cargo was delivered. *Id.* The ALJ found that the carrier’s

actions violated Section 10(b)(6)(D) as they constituted unfair practices in the loading and landing of freight. *Id.* at *2.

Crowley's actions fall squarely within the bounds found to be "unfair" in these cases. Crowley describes its attempts to locate the misplaced generator as a "fulsome and good faith investigation," but there is no evidence of "fulness" or "good faith" in the record. Crowley Reply 7. What the record does show is Crowley spent four months – from December 14, 2021, when Mr. Mills alerted Ms. Guia to the fact that the generator was missing, until April 11, 2022, when it sent a proposed offer and release – doing no investigation beyond a few internal emails that went unanswered and without follow up. FOF 18, 48. Crowley made no attempt to contact the individual who picked up the container from My Shipping Container, failed to follow up on internal emails that were apparently ignored, disregarded Mr. Mills's inquiries, and only sent the offer and release after further prodding from Mr. Mills. FOF 37-47. And in all this time, there is no evidence in Crowley's investigative file that anyone ever actually looked for the generator. FOF 46. This carelessness in handling Mr. Mills's property, indifference to his inquiries, and total failure to investigate is in line with *Adair*, *Symington*, and *Panalpina*, and constitutes an unfair practice in the matter of loading and landing of freight in violation of 46 U.S.C. § 41104(a)(4)(D).

C. Reparations

In his complaint, Mr. Mills itemizes his damages as follows:

Cost of the generator	\$8,500
Transport cost for replacement generator	\$800
Compensation for spoiled food due to not having the generator	\$750
Value of his time in trying to resolve this dispute	\$500
Commission filing fee	\$112
Total	\$10,662

Compl. at 5.

The Commission "shall direct the payment of reparations to the complainant for actual injury caused by a violation" of the Shipping Act. 46 U.S.C. § 41305(b). The term "actual injury" includes "the loss of interest at commercial rates compounded from the date of injury." 46 U.S.C. § 41305(a). Claimant bears the burden of proving that it is entitled to reparations. *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 16-16, 2022 WL 2209421, at *3 (FMC June 10, 2022). The Commission has explained that: "(a) damages must be the proximate result of violations of the statute in question; (b) there is no presumption of damage; and (c) the violation in and of itself without proof of pecuniary loss resulting from the unlawful

act does not afford a basis for reparation.” *Id.* at *3 (citations omitted). Reparations will only be awarded based on actual damages. *Id.* “Actual damages means ‘compensation for the actual loss or injuries sustained by reason of the wrongdoing’ which complainants must show to a reasonable degree of certainty.” *Id.* (citation omitted). “That does not require absolute precision but does require evidence sufficient to reasonably infer the actual loss sustained.” *Id.*

Of the items in Mr. Mills’s list, I find that the cost of the generator is supported by the record for the reasons stated above. I find that its loss was proximately caused by Crowley’s unfair practices as described above, and that the date of injury for purposes of calculating interest is December 8, 2021 (the date the container arrived without the generator). FOF 7, 17. As to the transport cost for a replacement generator, I find no evidence in the record regarding this expenditure. Nor do I find any evidence or itemization of the spoiled food. And while the time Mr. Mills expended trying to obtain relief from Crowley was no doubt frustrating, this is not the type of damage that is normally compensable, and in any event, there is no explanation in the record as to how this amount was arrived at. Finally, filing fees are not recoverable because “they are costs, not damages caused by an injury.” *Gruenberg-Reisner v. Overseas Moving Specialists*, Docket No. 1947(I), 2017 WL 11886784, at *13 (SCO Nov. 3, 2017) (citing *Chiarelli v. Pacon*, 29 S.R.R. 335, 337 n.9 (FMC 2001)).

IV. ORDER

Upon consideration of the record herein, the arguments of the parties, the findings and conclusions set forth above, it is hereby

ORDERED that judgment is entered against Respondent Crowley Logistics, Inc. for violation of the Shipping Act, 46 U.S.C. § 41104(a)(4)(D). It is

FURTHER ORDERED that Respondent Crowley Logistics, Inc. is liable to Claimant Ian Mills for reparations in the amount of \$8,500, with interest running on the reparation award from December 8, 2021. It is

FURTHER ORDERED that this case be **DISCONTINUED**.

ALEX
CHINTELLA

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ALEX CHINTELLA
Date: 2025.03.14
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Alex M. Chintella
Administrative Law Judge